

IE5203 Decision Analysis
Assignment #2
Due: 13 October 2026, 9 pm

Instructions

You must show your workings and the equations to be solved before using any equation solver.

All diagrams where required may be hand-drawn.

Total marks is 50.

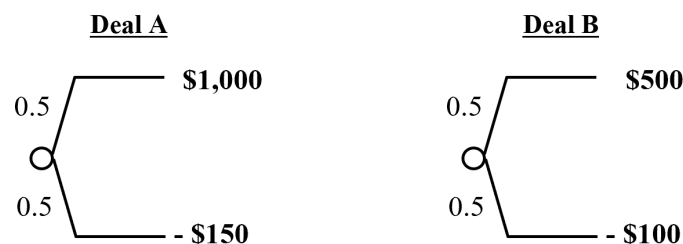
Submit your answers as one PDF file via Canvas.

Problem Description

Linda has the following wealth utility function, where w is in dollars:

$$u(w) = \begin{cases} \ln(1 + w), & w \geq 0 \\ w, & w < 0 \end{cases}$$

Linda's current wealth is \$500 in cash, and she is offered two independent deals A and B:



Question 1.

What is Linda's current degree of absolute risk aversion? State also its unit. **(5 marks)**

Question 2.

What is Linda's current risk attitude (i.e., risk-averse, risk-neutral, or risk-seeking)? **(5 marks)**

Question 3.

What is Linda's current Personal Indifferent Buying Price for Deal A? **(10 marks)**

Question 4.

Linda buys Deal A for \$150, and she now owns Deal A and \$350 in cash. What is now her Personal Indifferent Buying Price for Deal B? **(15 marks)**

Question 5.

Linda later buys Deal B for \$40, and she now owns Deal A, Deal B, and \$310 in cash. What is now her Personal Indifferent selling price for only Deal A? **(15 marks)**

***** End of Assignment *****